

CHANNEL PROFITABILITY ANALYSIS

Where Does Profit Really Come From?

B2B vs D2C Profitability, Risk & Growth Opportunities

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Business Problem & Analytical Objective

- **Business Problem**

- • Revenue growth does not always translate into profit growth
- • Different channels have very different cost structures
- • Companies often scale the wrong segments

- **Objective**

- • Identify the true profit drivers across channels
- • Detect operational and financial risks
- • Recommend optimal strategic resource allocation

Channel & Segment Profitability Overview

B2B Channel Leadership

B2B consistently delivers higher marketing efficiency and strong margins across all segments.

The **B2B Mid segment** stands out as the company's **primary profit engine**, combining the highest margin (60%) with extraordinary marketing efficiency.

Operational Efficiency Gap

B2B profitability is largely driven by **operational efficiency and low customer acquisition costs**.

In contrast, D2C relies heavily on **paid marketing**, significantly reducing net profitability despite healthy product margins.

High-Risk Segment D2C Entry

The **D2C Entry segment** shows critical profitability pressure:

- Margin: **6.98%**
- Marketing ROI: **3.54**

This indicates that **most of the revenue generated is absorbed by operational and acquisition costs**.

Scaling this segment without operational improvements could increase risk rather than profit.

Channel	Segment	Margin (%)	Marketing ROI
B2B	Entry	34.62	1,551
B2B	Mid	60.02	5,513
B2B	Premium	45.25	3,349
D2C	Entry	6.98	3.54
D2C	Mid	54.92	24.21
D2C	Premium	43.48	37.40

The results suggest three clear strategic directions:

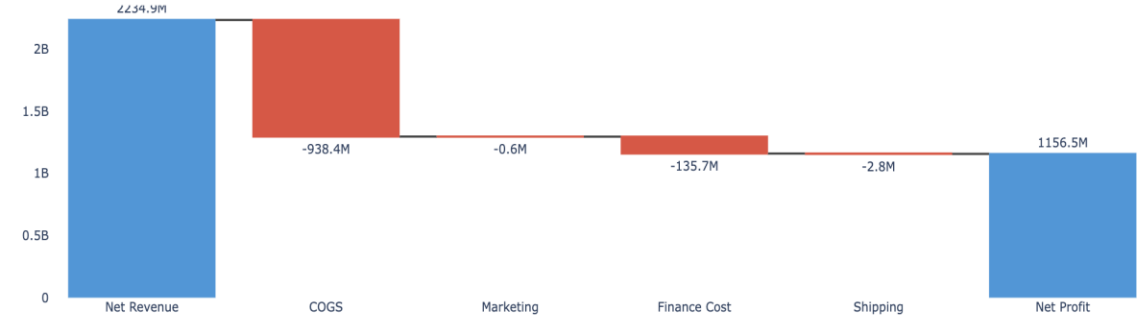
- **Scale B2B Mid**, the most efficient profit generator
- **Stabilize D2C Entry** before pursuing growth
- **Protect Premium segments**, which provide strong margins and pricing flexibility

B2B vs D2C – Profit Structure Comparison

D2C Channel Profit Waterfall (TL)



B2B Channel Profit Waterfall



B2B generates **2.23B TL revenue**, nearly **18× larger than D2C**, creating a significantly larger gross profit base.

B2B profitability is primarily affected by **financing costs** due to long payment terms.

D2C profitability is reduced by **commissions and marketing spend**, reflecting the cost of customer acquisition.

Both channels remain profitable, but efficiency differs:

- **B2B Net Margin:** 52%
- **D2C Net Margin:** 46%

B2B not only sells more but **converts revenue into profit more efficiently**.

B2B functions as the company's primary cash engine, generating large and stable profit flows.

D2C operates as a growth and brand channel, requiring higher operational and marketing investment.

Cost Structure Analysis (B2B vs D2C)

Where Does Each 100 TL of Revenue Go?

B2B Resilience

Despite higher production costs (**COGS: 41.9%**), B2B maintains a strong **51.7% net margin** due to its lean operating model and minimal overhead.

D2C Operational Friction

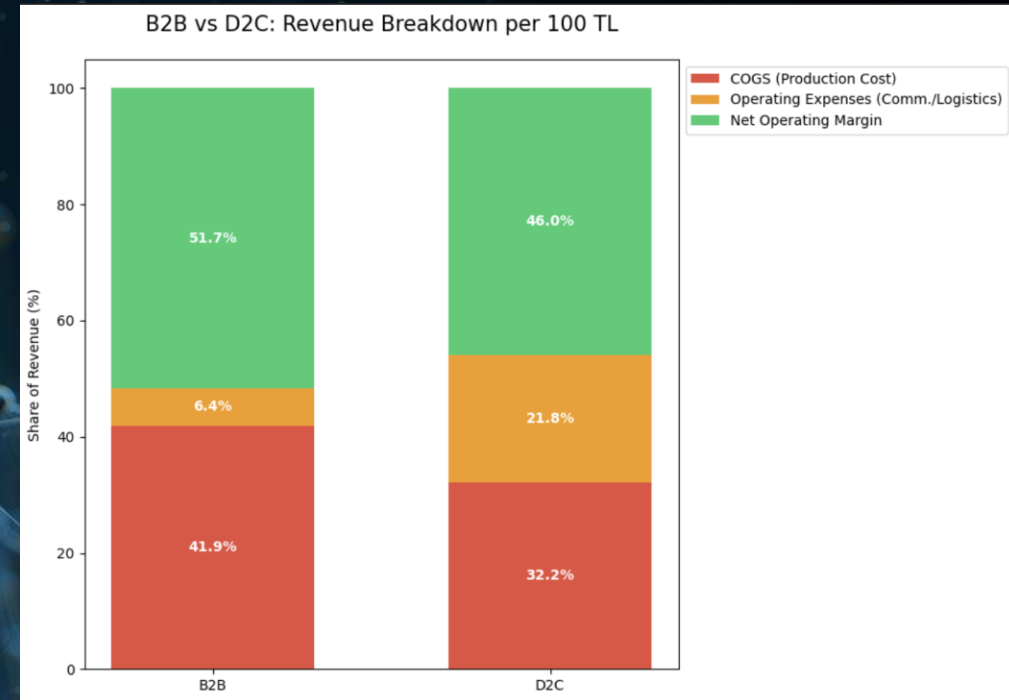
D2C benefits from **lower production costs (COGS: 32.2%)**, but this advantage is eroded by **high operating expenses (21.8%)**, mainly driven by marketing, logistics, and returns.

Profit Conversion Efficiency

B2B converts revenue into profit more efficiently because it avoids the high **customer acquisition costs** and **logistical complexity** inherent in the D2C model.

D2C spends **3.5× more on operating expenses** than B2B.

Reducing these operational costs is **the key lever for improving D2C profitability**, which we explore in the next section.



D2C Operational Optimization Scenario

Fixing the Leak: Unlocking Hidden Profit in D2C

D2C profitability is significantly affected by operational complexity, particularly **returns and logistics-related costs**.

Return Optimization Opportunity

By reducing return-related costs by **50%** through better quality control and improved size guidance, the company can recover **2.5M TL** in **additional profit**.

Profit Without Growth

This operational improvement increases D2C net profit from **57.9M TL** to **60.4M TL** without any additional sales volume or marketing investment.

Strategic Takeaway

Operational improvements can unlock **immediate profit gains** in the D2C channel, making efficiency initiatives a **critical step before scaling customer acquisition**.



Resilience Under Pressure: Impact of +20% USD Appreciation

High Sensitivity in Entry Segment

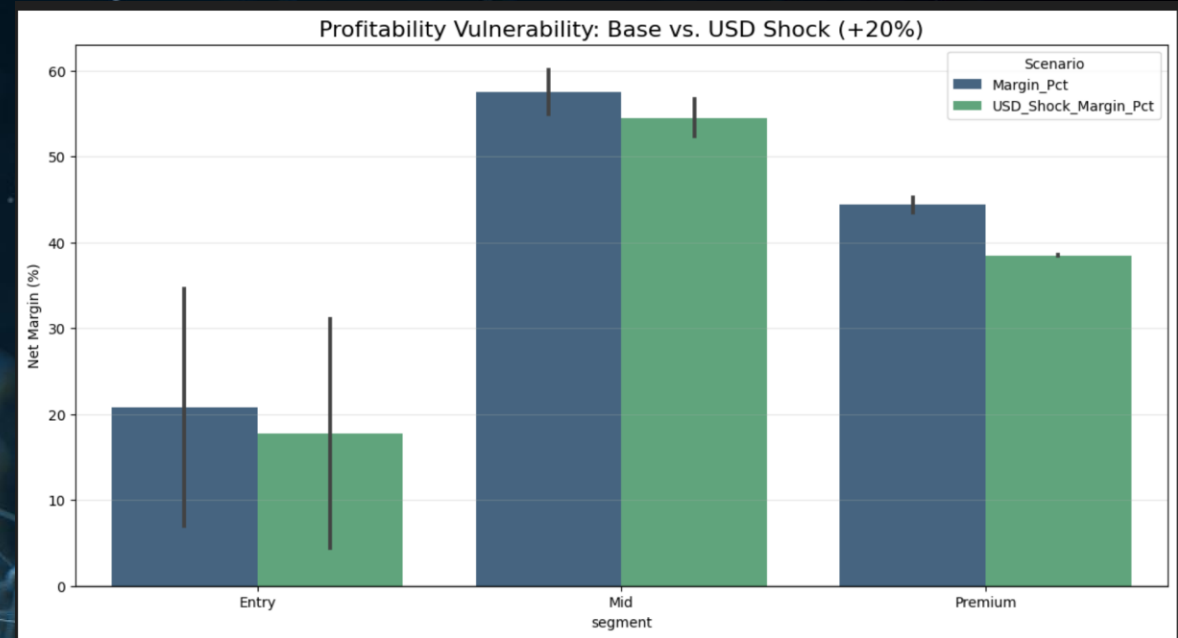
- Entry segment is the most vulnerable; a 20% currency shock compresses margins significantly, pushing them close to the "unprofitability" zone.

Resilience in Mid & Premium Segments

- Mid and Premium segments show higher resilience, maintaining healthy net margins even under FX shocks due to their higher initial profitability base.

Operational Risk

- Entry requires active price management or cost hedging to survive rapid FX fluctuations, while Mid segments remain comparatively strong.
- Currency volatility is a primary risk for the D2C channel, especially in low-margin segments.
- Protecting the Mid-to-Premium mix is not just a growth strategy it's a risk mitigation necessity.

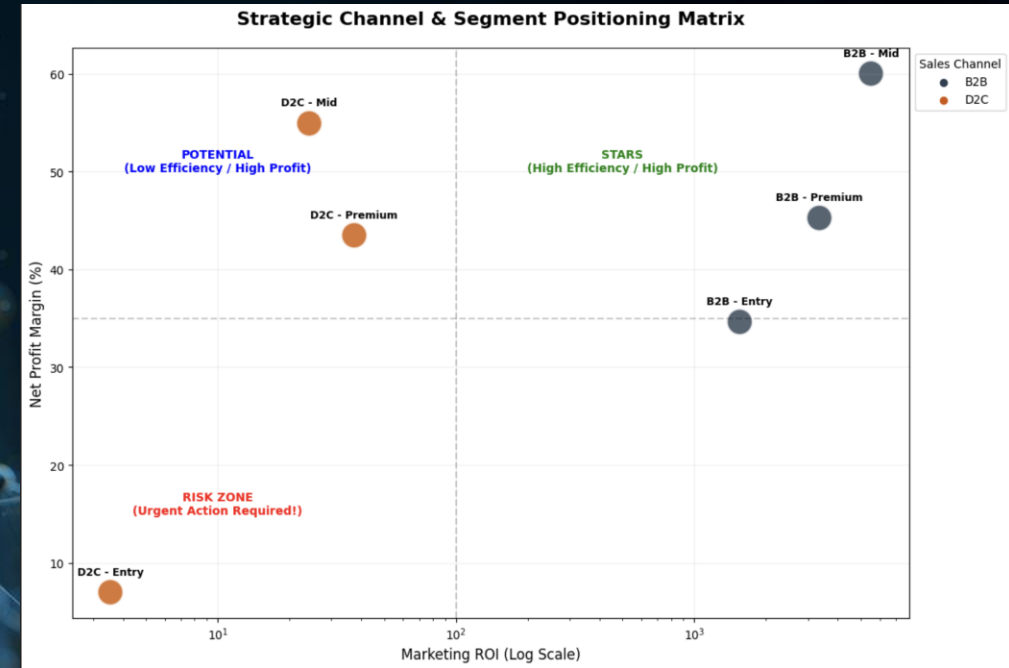


This "Stress Test" simulates a **20% increase in the USD exchange rate**, which directly impacts raw material costs.

Strategic Channel & Segment Positioning

Where to Invest? Segment Prioritization for Maximum ROI

- **STARS (High Efficiency / High Profit):**
- **Segments:** B2B (Mid, Premium, Entry).
- **Insight:** The company's primary profit engine. High margins with exceptional marketing efficiency.
- **Action: DEFEND & SCALE.** Protect market share and ensure high client retention.
- **POTENTIAL (Low Efficiency / High Profit):**
- **Segments:** D2C (Mid, Premium).
- **Insight:** Profitable products but suppressed by high customer acquisition costs.
- **Action: OPTIMIZE.** Improve marketing targeting to increase ROI.
- **RISK ZONE (Urgent Action Required):**
- **Segments:** D2C Entry.
- **Insight:** Profit erosion area. Low margins (<10%) combined with low ROI.
- **Action: FIX or EXIT.** Requires immediate operational overhaul (e.g., return reduction).

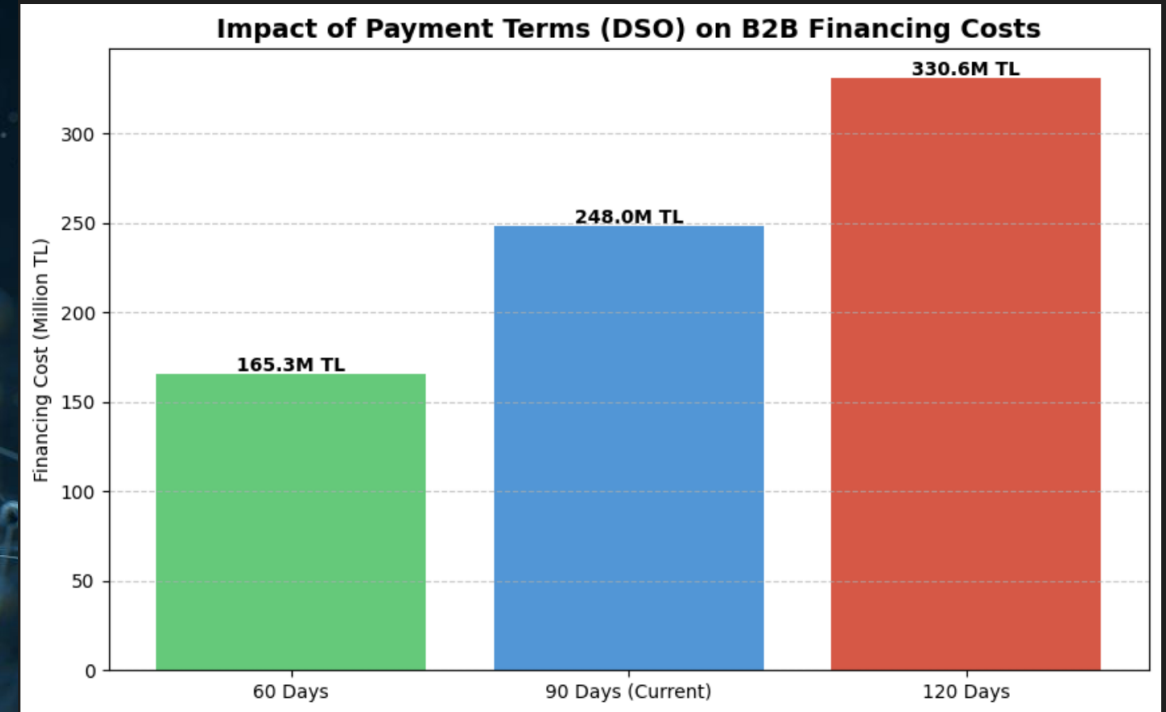


- **Redirect Capital:** Shift marketing focus from **D2C Entry** toward **Premium** segments to accelerate overall profitability.
- **Operational Mandate:** D2C growth must be conditional on fixing the operational "leakage" identified in previous slides.

B2B Profitability & Cash Cycle Optimization

Time is Money: Optimizing B2B Financing Costs

- **The Invisible Cost:** Unlike D2C's marketing-heavy spend, B2B's primary profit "leak" is the **Cost of Capital** driven by payment terms (DSO).
- **Current Baseline (90 Days):** Our current payment cycle costs the company **248.0M TL** in financing expenses.
- **The "Efficiency" Scenario (60 Days):** Reducing terms to 60 days through early settlement incentives would save **~82M TL**, directly boosting the net margin.
- **The "Risk" Scenario (120 Days):** Expanding terms to 120 days would inflate financing costs to **330.6M TL**, creating a significant drag on liquidity.
- **Launch Early Settlement Incentives:** Implement discounts for B2B clients who pay within 60 days to recover lost capital costs.
- **Protect the 'Star' Segment:** Controlling DSO is the most effective lever to safeguard B2B's high profitability from the rising cost of capital.

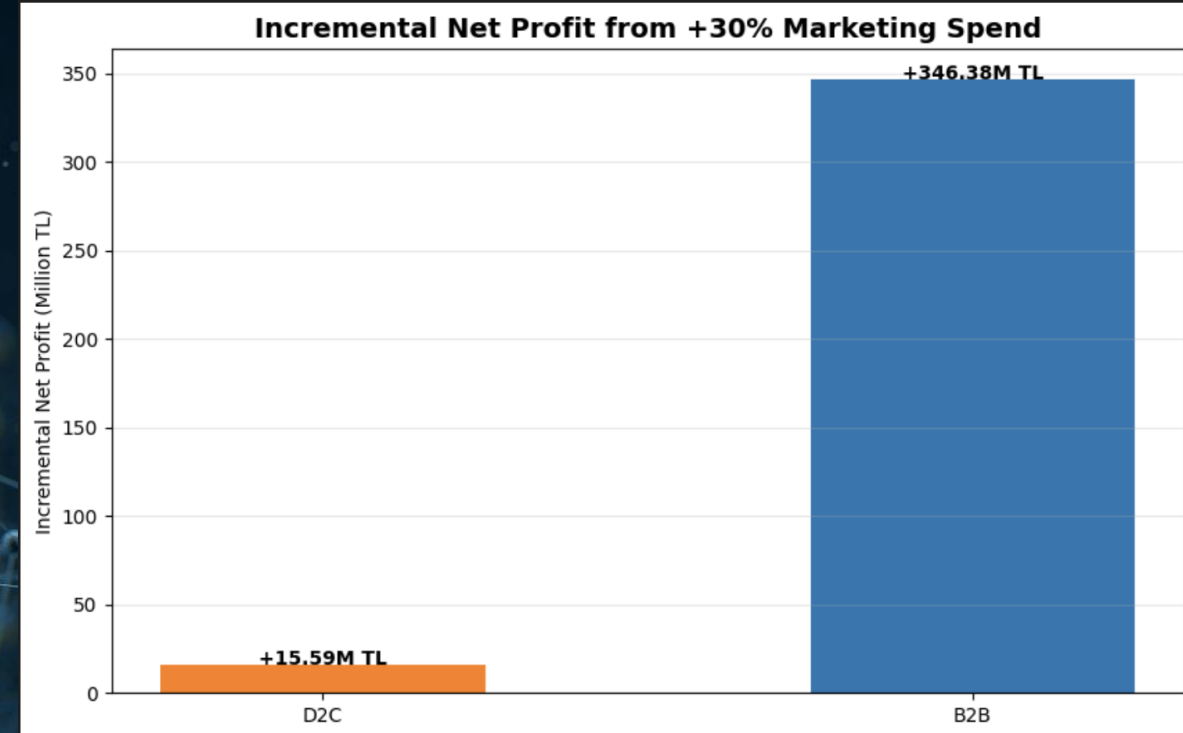


Strategic Resource Allocation Simulation

Where to Invest? The Case for B2B-Led Growth

Impact of +30% Marketing Investment

- **Simulation Logic:** We modeled a 30% increase in marketing spend for both channels to observe the marginal impact on the bottom line.
- **B2B Dominance:** A proportional increase in B2B spend generates a staggering **+346.38M TL** in incremental net profit.
- **D2C Limitation:** The same relative investment in D2C yields only **+15.59M TL**, confirming high capital intensity and lower marginal efficiency.
- **Unmatched Efficiency:** Every 1 TL spent on B2B marketing is approximately **22x more productive** for the bottom line than 1 TL spent on D2C.
- **Strategic Shift:** D2C should focus on **operational fix** (returns & logistics), while B2B receives the **majority of the growth capital** to maximize total company value.



Strategic Roadmap & Recommendations

- **B2B Strategy: High-Volume Engine**
- **Scale Market Share:** Prioritize B2B for growth investment, as every 1 TL spent is 22x more productive than in D2C.
- **Financial Hygiene:** Negotiate early settlement discounts to reduce DSO from 90 to 60 days, potentially saving ~82M TL in capital costs.
- **2. D2C Strategy: Margin Protection & Efficiency**
- **Operational Fix First:** Halt aggressive growth in low-margin Entry segments until return-related costs are reduced by 50%.
- **Premium Pivot:** Shift existing marketing focus toward Mid and Premium segments to increase the overall channel margin and resilience against FX shocks.
- **3. Risk Management**
- **FX Resilience:** Implement hedging or dynamic pricing for Entry-level products to protect margins against currency volatility.
- **Efficiency Monitoring:** Establish a quarterly "Profitability Matrix" review to ensure resources are always allocated to High-ROI segments.